Assessment Assumptions & Baseline

Practical guidance for preparing a credible 12-month SME projection.

This module brings together the minimum facts and assumptions needed to interpret Sales, costs, working capital, funding and assets consistently. It supports government-programme assessment and management discussion; it is not a substitute for audited accounts or professional tax advice.

> **How to use it:** capture verified opening facts first, enter the most reasonable baseline assumptions, attach or reference supporting evidence, review the readiness checklist, and confirm the baseline before using it for decisions or sensitivity analysis.

1. Opening Position

Setting	How it supports projections
Opening stock, debtors and creditors	Read-only totals calculated from active Sales Categories. Update the underlying category records rather than entering duplicate totals.
Opening bank balance	Sets the initial cash available. Every projected receipt and payment builds from this amount.
Overdraft interest	Provides the annual financing rate applied where projected cash becomes overdrawn.
Gross assets, accumulated and projected depreciation	Read-only totals calculated from active asset records and the asset depreciation engine.
Other current assets and liabilities	Captures prepayments, non-trade receivables, accruals and short-term obligations not represented by trade debtors or creditors. These remain on the projected balance sheet unless reclassified outside this lightweight model.
Opening VAT payable	VAT already owed at the start date and treated as a Month 1 cash outflow.
Opening VAT refundable	A confirmed VAT refund receivable at the start date and treated as a Month 1 cash inflow.

Evidence: recent bank statement, stock count, management accounts, aged debtors/creditors, asset register and loan statements. A genuine zero should be confirmed rather than left unknown.

2. Sales Categories

Setting	Projection use
Category and income type	Separates true Sales from sundry income, grants, disposals and other income. Only true Sales should drive gross profit, stock, debtors and break-even measures.

Markup	Supports the category cost-of-Sales estimate and gross-margin calculation when purchase/stock information is incomplete.
Opening stock	Assigns starting stock to the relevant Sales Category and feeds opening working capital.

3. Debtors & Creditors Profiles

Percentage mode Enter the expected distribution across ageing buckets. The 0–30 day bucket balances the total to 100%.

Actual values mode Enter known Rand balances such as R90,000 in 0–30 days and R35,000 in 31–60 days. The application converts each bucket to a percentage of the total and saves those percentages for projections.

Setting	Projection use
Debtor profile	Determines when credit Sales are expected to be collected, shifting cash receipts into later months.
Creditor profile	Determines when supplier purchases are paid, shifting cash payments into later months.
Bad debt	Reduces the collectible portion of credit Sales and highlights collection risk.
Average payment days	Provides a practical reasonableness indicator for the captured collection profile.
Include VAT	Clarifies whether the entered ageing balances include VAT so cash and VAT interpretation remain consistent.

4. Sales & Stock Assumptions

Setting	Projection use
Sales growth and start month	Defines the baseline percentage change and the first month affected. “Month 4” means Months 1–3 remain at the entered baseline.
Cash Sales percentage	Identifies Sales collected in the month of sale; the balance follows the debtor profile.
Bad debts	Provides a baseline loss allowance for uncollectible credit Sales. Reconcile it with the profile setting.
Fallback cost of Sales	Used only when category markup or detailed stock/purchase data cannot provide a reliable cost basis.
Minimum closing stock	Defines a simple stock buffer and supports purchase requirements and liquidity review.

5. Expenses, VAT & Director Wages

Setting	Projection use

VAT rate	Applies to taxable Sales, purchases and expenses. Confirm registration status and the legally applicable rate.
VAT payment frequency	Controls whether net VAT cash settlement is expected monthly or every two months.
Expense increase and start month	Escalates operating expenses from the selected month without changing earlier baseline months.
Contingency	Adds a modest allowance for foreseeable but unallocated operating costs. It should not conceal known expenses.
Director wages	Number of directors × monthly wage becomes the recurring management remuneration cash outflow.
Director wage increase	Applies the expected change to director remuneration during the projection period.

6. Funding, Cash Reserve & Assets

Setting	Projection use
Loan balance, rate, term and instalment	Drive financing balances, interest expense and monthly repayment cash outflows. The loan start month determines when a new facility begins affecting the projection.
Minimum cash balance	Represents management's preferred liquidity reserve. Falling below it should trigger a warning, not be treated as additional spending capacity.
Asset opening cost and accumulated depreciation	Establish net book value at the start of the projection.
Acquisition month	Determines when a planned asset enters the balance sheet and begins affecting cash and depreciation.
Depreciation rate and method	Determine the periodic non-cash depreciation charge and closing asset value.
Disposals and movements	Adjust asset values, disposal proceeds and gains/losses in the relevant month.

7. Readiness, Notes & Confirmation

The readiness score checks whether essential opening facts, Sales Categories, monthly Sales, working-capital profiles, expenses, VAT, loans, asset depreciation and baseline assumptions are available. **Incomplete** means a required check failed. **Ready with warnings** means core data is available but an advisory item remains. **Ready** means the minimum automated checks pass.

Assumption notes should record the source, date, owner and reason for each material estimate—for example "based on signed orders" or "average of the last six VAT returns."

Confirmation records that the baseline has been reviewed and is reasonable for the assessment. It does not prove that the forecast will occur.

> **Important cautions:** avoid double-counting assumptions already represented by monthly source data; use fallback cost of Sales only when required; distinguish Sales from grants or disposals; keep VAT treatment consistent; and rerun readiness after changing material source data.

Recommended review sequence

1. Verify the opening date and balances.
2. Check income classification and monthly Sales.
3. Confirm debtor, creditor and stock behavior.
4. Review expenses, VAT and wages.
5. Reconcile loans and assets to supporting statements.
6. Review warnings, document sources and confirm the baseline.